The Market for Lemons

Why Consumers Can't Tell Good Lawyers from Bad Ones

AN ADVERSE SELECTION ANALYSIS OF QUALITY UNCERTAINTY IN THE MARKET FOR LEGAL SERVICES

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Executive Summary

A companion paper to *Misaligned Incentives: The Economic Case Against Hourly Billing in Divorce Law*, this analysis addresses a deeper dysfunction in the market for legal services. The first paper demonstrated that hourly billing creates a principal-agent conflict — your attorney profits from prolonging your case. This paper asks the prior question: how would you know?

Legal services are what economists call *credence goods* — services whose quality consumers cannot evaluate before, during, or even after purchase. Unlike a restaurant meal (an experience good, where quality reveals itself on consumption) or a suit (a search good, where quality is observable before purchase), the quality of legal representation depends on counterfactuals the client can never observe. Was the settlement optimal? Would a different attorney have achieved a better custody arrangement? The client cannot know.

This information asymmetry triggers a market failure that George Akerlof identified in his Nobel Prize-winning 1970 paper, “The Market for ‘Lemons.’” When buyers cannot distinguish quality, the market drives out high-quality providers and rewards mediocrity. The empirical evidence confirms this prediction across the legal profession: a bimodal salary distribution that hollows out the middle, malpractice concentrated among small practitioners, rating systems that measure popularity rather than competence, and a bar exam that creates a pooling equilibrium among 1.37 million indistinguishable licensees.

We apply Michael Spence’s signaling theory to show that flat-fee pricing satisfies the formal conditions for a credible quality signal: it is differentially costly, with the cost lower for efficient (high-quality) attorneys than for inefficient ones. Combined with the incentive alignment established in the first paper, flat-fee pricing serves a dual function — it both aligns the attorney’s incentives with the client’s interests *and* credibly communicates the attorney’s private information about their own quality.

I. The Information Problem: Legal Services as Credence Goods

The economics of information distinguishes goods by the consumer's ability to evaluate quality at different stages of the transaction. Philip Nelson's foundational 1970 taxonomy separated *search goods* (quality observable before purchase) from *experience goods* (quality observable only after purchase).[1] Michael Darby and Edi Karni extended this framework in 1973 by introducing a third category: *credence goods*, whose quality the consumer cannot fully evaluate even after consumption.[2]

The distinction is not merely academic. Each category produces different market failures, requires different regulatory responses, and responds differently to competition. For search goods, price competition works efficiently — consumers can compare before buying. For experience goods, reputation and repeat purchase provide discipline. For credence goods, neither mechanism works. The consumer cannot tell whether they received the right service, let alone whether it was performed well.

[1] Nelson, P. (1970). "Information and Consumer Behavior." *Journal of Political Economy* 78(2), 311–329.

[2] Darby, M. & Karni, E. (1973). "Free Competition and the Optimal Amount of Fraud." *Journal of Law and Economics* 16(1), 67–88.

Figure 1. *The Information Taxonomy: Consumer Ability to Evaluate Quality by Good Type*

Based on Nelson (1970) and Darby & Karni (1973).

Legal services occupy the extreme end of this spectrum. Dulleck and Kerschbamer's definitive 2006 survey identified three forms of market failure unique to credence goods: overtreatment (providing unnecessary services), undertreatment (providing insufficient quality), and overcharging (billing for more than delivered).[3] Their model demonstrates that efficient market outcomes require both *liability* (the expert must actually solve the problem) and *verifiability* (the consumer can observe what was provided). Legal services fail both tests in most consumer contexts.

Liability is weak: legal malpractice carries a high proof threshold, requiring the client to demonstrate that a different attorney would have achieved a better outcome — the unknowable counterfactual. Verifiability is absent: clients cannot observe whether the legal strategy was appropriate, the motions were well-drafted, or the settlement was optimal. As Chaserant and Harnay noted, "the client can observe the action of the lawyer but does not know whether this action is appropriate to his or her case."[4]

[3] Dulleck, U. & Kerschbamer, R. (2006). "On Doctors, Mechanics, and Computer Specialists: The Economics of Credence Goods." *Journal of Economic Literature* 44(1), 5–42.

[4] Chaserant, C. & Harnay, S. (2013). "The Regulation of Quality in the Market for Legal Services." *European Journal of Comparative Economics* 10(2), 267–291.

The experimental evidence quantifies the scale of credence goods fraud in comparable markets. Schneider (2012) found that roughly 30% of auto repair visits involved completely unnecessary work, while 80% missed at least one real defect.[5] Gottschalk, Mimra, and Waibel (2020) documented a 28% overtreatment recommendation rate in dental care. Hall et al. (2022) found a 40% credence goods markup in phone repair. These markets have *more* transparent quality signals than legal services — the car either runs or it doesn't. Legal outcomes offer no such test.

II. Akerlof's Lemons Model: How Bad Drives Out Good

George Akerlof's "The Market for 'Lemons'" was rejected three times before its 1970 publication in the *Quarterly Journal of Economics* — by the *American Economic Review*, the *Review of Economic Studies*, and the *Journal of Political Economy*. It won the Nobel Prize in Economics in 2001.[6]

The model's mechanism is elegant. In a used car market, sellers know whether their vehicle is a "peach" or a "lemon," but buyers cannot distinguish quality before purchase. Rational buyers therefore offer a price reflecting expected average quality. When this average price falls below the reservation price of high-quality sellers, those sellers withdraw. Their exit lowers average quality, which depresses the price further, triggering more exits. Akerlof called this positive feedback loop a "generalized Gresham's Law" — bad goods drive out good.

Akerlof identified three counter-mechanisms: guarantees and warranties (shifting risk to the seller), brand names and reputation (built through repeated interaction), and licensing and professional certification (third-party quality assurance). Each is directly

[5] Schneider, H. (2012). "Agency Problems and Quality in a Credence Goods Market." *Journal of Industrial Economics* 60(3), 406–433.

[6] Akerlof, G. (1970). "The Market for 'Lemons': Quality Uncertainty and the Market Mechanism." *Quarterly Journal of Economics* 84(3), 488–500.

relevant to professional services. And each, as the evidence below demonstrates, functions poorly in the legal market.

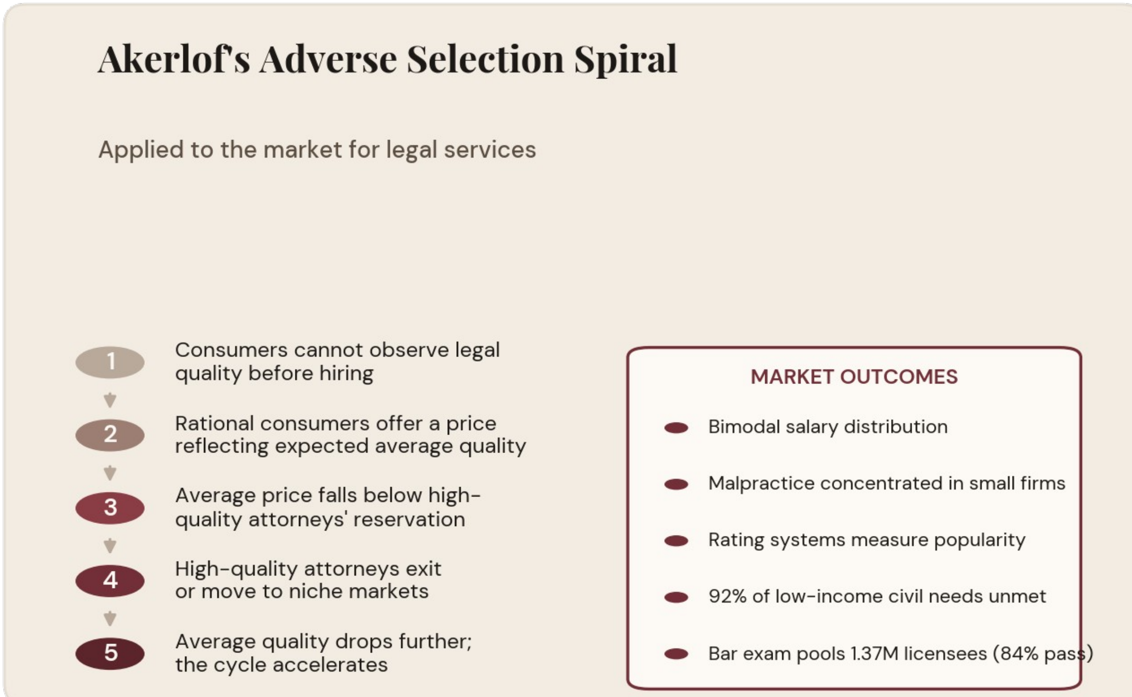

Figure 2. *The Adverse Selection Spiral: How Information Asymmetry Degrades the Market for Legal Services*

Original figure. Model: Akerlof (1970).

The legal services market exhibits all the structural preconditions for lemons dynamics. One-sided private information about quality: the attorney knows their own competence, case-preparation quality, and strategic judgment; the client cannot independently verify any of these. No cost-effective screening mechanisms: the bar exam creates a pooling equilibrium rather than a separating one (Section IV). And competitive pricing against beliefs about average quality: consumers unable to distinguish a $300/hour attorney who resolves cases efficiently from a $300/hour attorney who bills unnecessary hours.

III. The Quality Measurement Vacuum

The UK Competition and Markets Authority's 2016 Legal Services Market Study confirmed the information problem empirically: consumers lacked adequate information on price, quality, and service to make informed decisions.[7] Only 17% of legal services providers made their prices publicly available. 83% of adults who experienced a legal issue did not receive help from a legal professional.

Gillian Hadfield of the University of Southern California identified legal services as "credence goods par excellence" in her seminal 2000 paper, "The Price of Law."[8] Her analysis demonstrated that the legal profession's self-regulatory structure — lawyer-controlled bar associations setting entry requirements and ethical rules — insulates the profession from the competitive pressures that might otherwise drive quality innovation. The result is a market organized around producer interests rather than consumer needs.

Daniel Linna Jr. of Northwestern captured the profession's failure concisely: "The legal industry has not undergone a quality movement and lacks standard measures of legal-services quality and value. Whereas medicine long ago embraced evidence-based practice and empiricism, law muddles along, deferring to lawyers' untested, loosely conceived, normative standards for practice."[9]

The contrast with healthcare is instructive. Healthcare experienced a triggering crisis — the Institute of Medicine's *To Err is Human* (1999), estimating 44,000 to 98,000 preventable hospital deaths annually — that catalyzed a quality movement. Auditing had Enron and WorldCom. Legal services has experienced no comparable public crisis, despite evidence that quality problems are pervasive. BTI Consulting Group's 2025 annual report found that overall client satisfaction with law firms hit a 25-year low.

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[7] Competition and Markets Authority (2016). *Legal Services Market Study: Final Report*. December 2016.

[8] Hadfield, G. (2000). "The Price of Law: How the Market for Lawyers Distorts the Justice System." *Michigan Law Review* 98(4), 953–1006.

[9] Linna, D. (2020). "Evaluating Legal Services: The Need for a Quality Movement and Standard Measures of Quality and Value." *Research Handbook on Big Data Law*, Edward Elgar.

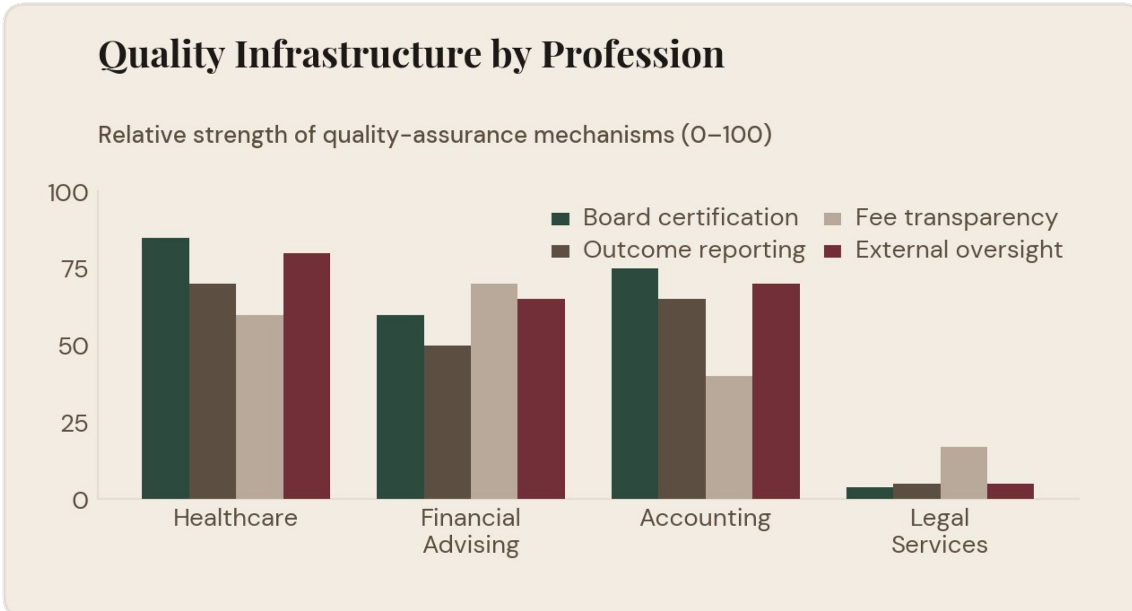

Figure 3. *Quality Infrastructure by Profession: Legal Services Trails Every Comparable Credence-Good Market*

Original figure. Sources: ABA, ABMS, SEC, PCAOB, CMA.

IV. Why Consumers Can't Tell: Failed Quality Signals

A. Referrals: The Blind Leading the Blind

Clio's Legal Trends Reports consistently find that 59–62% of consumers locate attorneys through referrals from friends or family. But personal referrals suffer from small sample sizes and the same credence-good problem that afflicts the entire market: the referrer could not evaluate quality either. Martindale-Avvo's 2023 study found that 61% of consumers received no recommendation at all, and 32% of those who did ultimately chose someone other than the referred attorney.[10]

[10] Martindale-Avvo (2023). "Three Things to Know About Legal Consumers." Consumer Research Report.

B. Online Ratings: Measuring the Wrong Things

Among consumers researching lawyers online, 54% weight average review scores highest and 54% weight the number of reviews (Martindale-Avvo, 2023). But reviews on Google, Avvo, and Yelp measure observable service dimensions — responsiveness, communication, personality — not legal competence, which remains invisible to reviewers.

Avvo's own support center explicitly disclaims that its ratings evaluate "knowledge of the law, past performance on individual cases, personality, or communication skills." The Avvo numerical rating rewards profile completeness over quality — an elite attorney who doesn't claim their profile receives a mediocre score. The system was sued for inaccuracy within nine days of launch. Super Lawyers has been criticized as a "popularity contest" with nomination processes that allow attorneys to nominate colleagues from their own firms.

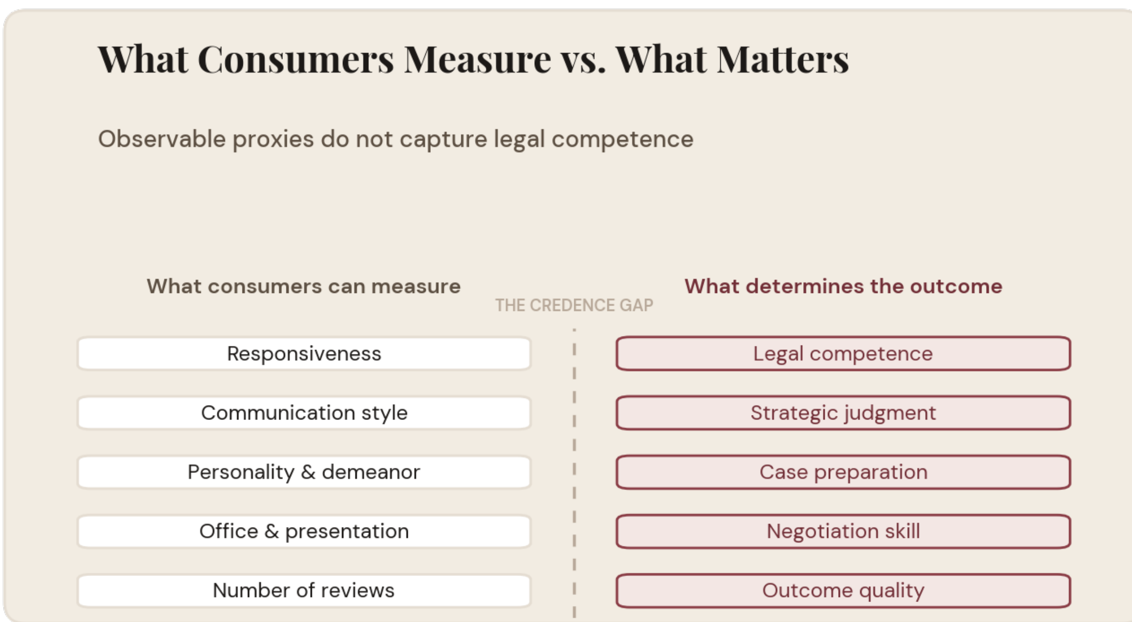

***Figure 4.** What Consumers Measure vs. What Matters*

Sources: Clio Legal Trends Reports (2017–2024), Martindale-Avvo (2023).

C. The Bar Exam: A Pooling Equilibrium

The bar exam creates a massive pooling equilibrium. First-time pass rates reached 84% in 2025, with ultimate pass rates exceeding 92% (ABA). This admits 1.37 million licensed attorneys into a market where consumers cannot differentiate among them. A 2024 study by Scott et al. found that “while MBE scores are statistically significantly related to some evaluations of lawyering effectiveness, the relationships are small and offer little practical significance.”[11] Board certification — arguably the strongest existing quality signal — covers fewer than 4% of practicing lawyers, compared to 85% of physicians. Only 15 states offer programs.

V. Empirical Evidence: A Market in Adverse Selection

The Bimodal Distribution

The legal profession’s salary distribution is the signature empirical marker of a stratified market. NALP data for the Class of 2024 shows a left peak at $55,000–$100,000 (53% of reported salaries) and a right peak at $215,000–$225,000 (23%). The overall median was $95,000.[12] This distribution mirrors Hadfield’s description of a dual-segment profession: a corporate segment populated by elite-school graduates at high fees, and a personal/individual segment serving routine matters under competitive price pressure — precisely the segment where adverse selection operates most aggressively.

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[11] Scott, J. et al. (2024). “Putting the Bar to the Test: An Examination of the Predictive Validity of Bar Exam Outcomes on Lawyering Effectiveness.” *Journal of Legal Education*.

[12] NALP (2025). “Class of 2024 Achieves Record Employment.” Employment data summary.

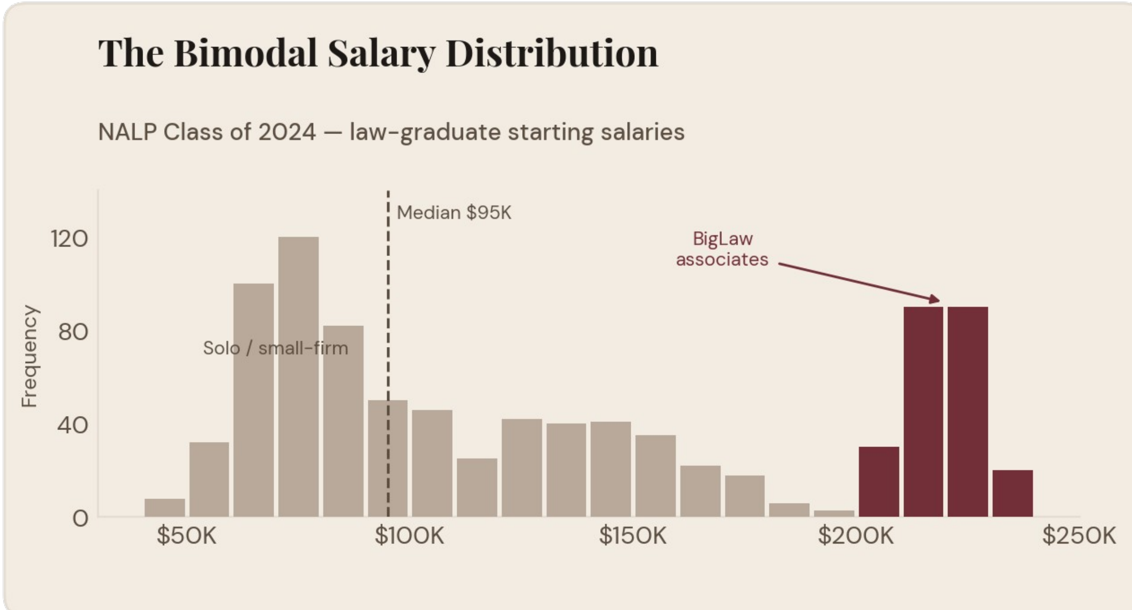

Figure 5. The Bimodal Salary Distribution: Two Professions Sharing One License

Data: NALP, Class of 2024.

Malpractice Concentration

Over 65% of malpractice claims involve firms with five or fewer lawyers, and solo practitioners generate more claims than any other firm size (ABA Profile of Legal Malpractice Claims, 2020–2023).[13] The top practice areas for claims — estate/trust/probate, real estate, personal injury, and family law — are precisely the commoditized, price-competitive areas serving individual clients. Substantive legal errors constitute roughly 50% of all claims, while administrative errors and client-relations failures make up the remainder. Only 0.2–0.38% of lawyers receive public discipline in any given year. The enforcement apparatus captures a small fraction of quality problems.

The Justice Gap

The Legal Services Corporation's 2022 Justice Gap Study found that 92% of substantial civil legal problems of low-income Americans receive no or inadequate legal help.[14] Low-

[13] American Bar Association (2023). Profile of Legal Malpractice Claims, 2020–2023.

[14] Legal Services Corporation (2022). The Justice Gap: The Unmet Civil Legal Needs of Low-Income Americans.

income households seek help for only 1 in 4 civil legal problems. 53% don't know if they could find and afford a lawyer. The World Justice Project's 2024 index ranked the United States 107th out of 142 countries on accessibility and affordability of civil justice — a fall of 42 positions since 2015. This is not merely an affordability crisis. It reflects a market where information asymmetry prevents efficient matching of clients with appropriate providers.

VI. Cognitive Biases: Why Consumers Default to Bad Proxies

Behavioral economics explains why consumers reliably choose unreliable quality proxies — and why the problem intensifies for divorce clients.

The availability heuristic (Tversky & Kahneman, 1973) ensures consumers choose lawyers they've "heard of" — a metric that correlates with advertising spend, not competence.[15] Anchoring means a $500/hour rate anchors perceived quality, making a $250/hour attorney seem less competent regardless of actual skill. The halo effect (Nisbett & Wilson, 1977) means an impressive office, confident demeanor, and polished speech create a global positive impression that colors competence assessment — and crucially, operates unconsciously.[16]

The Dunning-Kruger effect (1999) ensures that clients who know the least about law are least able to recognize their inability to evaluate quality.[17] In the original study, bottom-quartile performers estimated their competence at the 62nd percentile. Applied to legal consumers: the less you know about law, the more confident you are in your ability to judge your lawyer.

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[15] Tversky, A. & Kahneman, D. (1973). "Availability: A Heuristic for Judging Frequency and Probability." *Cognitive Psychology* 5(2), 207–232.

[16] Nisbett, R. & Wilson, T. (1977). "The Halo Effect: Evidence for Unconscious Alteration of Judgments." *Journal of Personality and Social Psychology* 35(4), 250–256.

[17] Kruger, J. & Dunning, D. (1999). "Unskilled and Unaware of It." *Journal of Personality and Social Psychology* 77(6), 1121–1134.

Decision-Making Under Divorce Stress

Mani, Mullainathan, Shafir, and Zhao (2013) demonstrated in *Science* that financial anxiety reduces cognitive function by the equivalent of 13–14 IQ points — comparable to losing a full night's sleep.[18] Their study of Tamil Nadu sugarcane farmers showed the same person performed significantly worse on cognitive tests when poor (pre-harvest) versus flush (post-harvest). The effect is not about poverty as a trait; it is about scarcity as a cognitive tax.

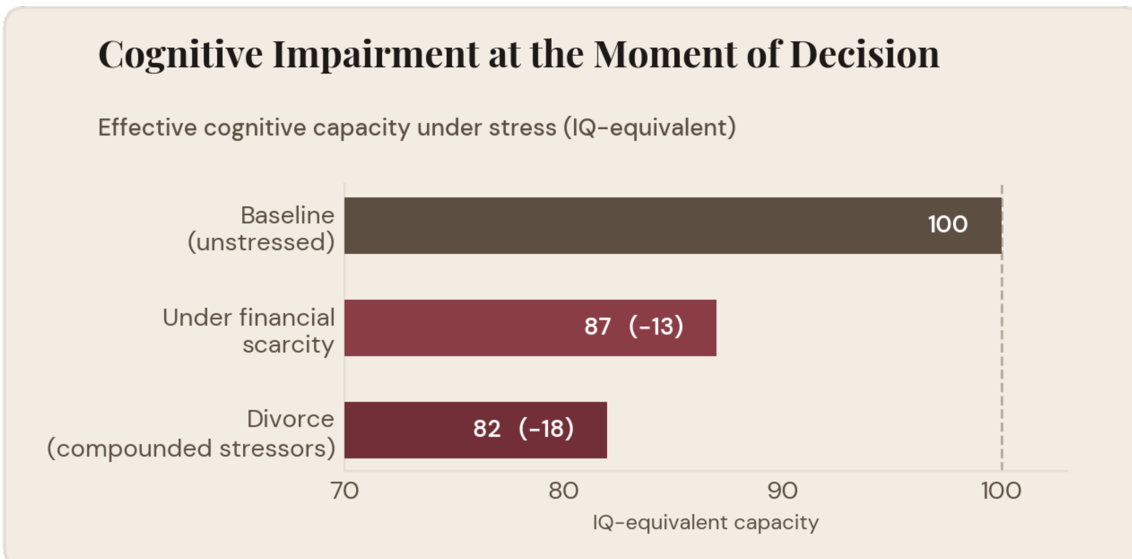

Figure 6. ***Cognitive Impairment at the Moment of Decision***

Data: Mani et al. (2013), Science. Divorce estimate based on combined stressor literature.

Divorce clients face simultaneous emotional trauma, financial uncertainty, housing instability, and custody anxiety — each independently consuming cognitive bandwidth. They are making the most important quality assessment of the engagement at the precise moment when their cognitive resources are most depleted. And after the case concludes, confirmation bias prevents discovery of the gap: the counterfactual — what would a different lawyer have achieved? — is permanently unknowable.

[18] Mani, A. et al. (2013). "Poverty Impedes Cognitive Function." *Science* 341(6149), 976–980.

VII. Flat Fees as a Quality Signal

Michael Spence's "Job Market Signaling" (1973) formalized how informed parties can credibly communicate private information.[19] The critical insight: for a signal to be credible, it must satisfy the *single-crossing condition* — the signal must be differentially costly, with the cost lower for high-quality types than for low-quality types. Education signals productivity not because it increases productivity, but because high-ability workers acquire it at lower cost.

The Single-Crossing Condition in Legal Fees

Applied to legal services, flat-fee pricing satisfies the single-crossing condition through a precise mechanism. An inefficient attorney cannot profitably sustain flat fees because their inefficiency means regularly exceeding the fixed price in time spent. If a mediocre attorney takes twice as long as a competent one to draft a motion or negotiate a settlement, the implicit hourly rate under a flat fee drops below their cost of operation. The attorney bears 100% of cost-overrun risk.

Conversely, a competent, efficient attorney completes work in predictable time, making flat fees profitable. The very efficiency that defines quality makes the signal cheap to send — precisely the cost asymmetry that Spence's model requires.

[19] Spence, M. (1973). "Job Market Signaling." *Quarterly Journal of Economics* 87(3), 355–374.

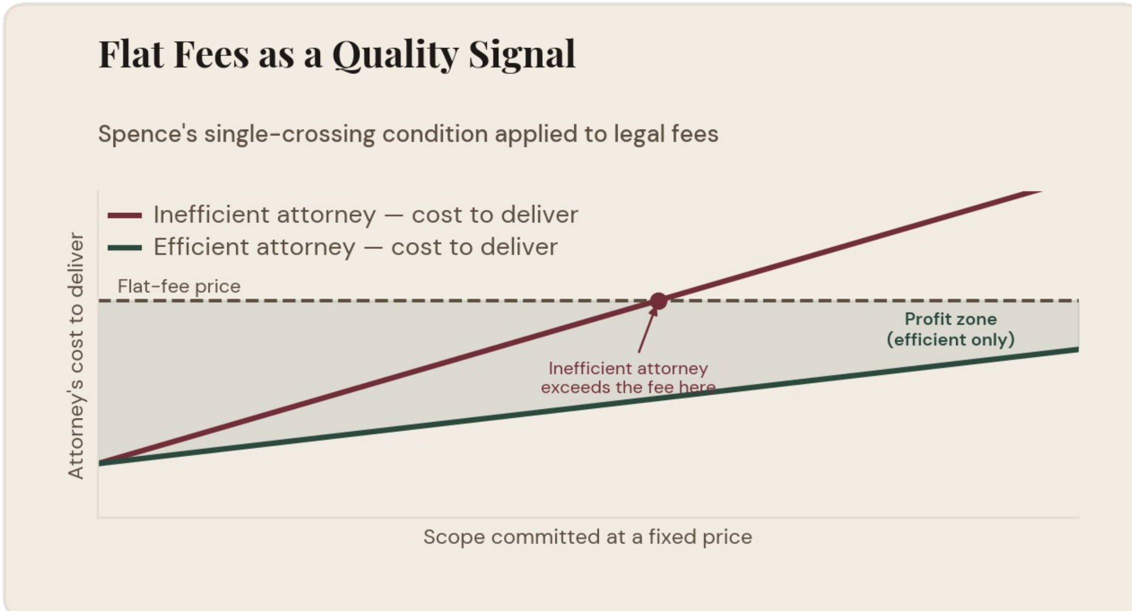

Figure 7. *Flat Fees as a Quality Signal: The Single-Crossing Condition Applied to Legal Fee Structures*

Original figure. Framework: Spence (1973).

The Dual Function

The companion paper, *Misaligned Incentives*, established that hourly billing creates a principal-agent problem. This paper adds a second, independent function: flat-fee pricing also signals quality by credibly communicating the attorney's private information about their own efficiency. These two functions — incentive alignment and quality signaling — operate simultaneously and reinforce each other.

Current adoption data supports the shift. Clio's Legal Trends Reports show that 59% of firms billed flat fees exclusively or in addition to hourly rates in 2024 — up 34% since 2016.[20] 71% of clients prefer flat fees for their entire case. Yet 90% of legal dollars still flow through hourly rate arrangements (Thomson Reuters, 2026). The gap between adoption and revenue share reveals that flat fees remain concentrated in lower-value work — precisely the market segment where adverse selection pressures are strongest.

[20] Clio (2024). *Legal Trends Report*. Annual industry data.

VIII. What Other Markets Teach Us

The legal profession's failure to develop quality infrastructure becomes stark in comparison to peer markets for credence goods.

Healthcare

The American Board of Medical Specialties oversees 24 member boards certifying over 800,000 physicians — roughly 85% of practicing specialists.[21] Board certification is associated with a 19% reduction in mortality in a Pennsylvania study. CMS's Care Compare has operated since 2002; HCAHPS, the first national standardized patient experience survey, has been linked to up to 2% of Medicare reimbursement since 2012. Approximately 3 million patients complete HCAHPS surveys annually. The legal profession has no equivalent to any of these mechanisms.

Financial Services

The shift from commission-based broker-dealers to fee-only Registered Investment Advisers directly parallels the hourly-to-flat-fee transition. Fee-only advisors forgo commission income, credibly signaling alignment with client interests — a precise analogue to flat-fee legal pricing.[22] The SEC's Regulation Best Interest (2020) enhanced disclosure standards. Form CRS requires standardized disclosures of services, fees, and conflicts. CFP and CFA certifications function as market-recognized quality signals. The legal profession has no fiduciary-duty framework, no standardized disclosure requirement, and no certification with comparable market penetration.

The Satisfaction Trap

A critical insight from healthcare: satisfaction does not measure quality. Fenton et al. (2012) studied 51,946 patients and found that those in the highest satisfaction quartile had

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[21] American Board of Medical Specialties. Certification statistics. Norcini, J. et al. (2014). "Does Certification Improve Medical Standards?" *BMJ*.

[22] SEC (2019). "Regulation Best Interest." Release No. 34-86031.

26% higher mortality, 12% higher hospitalization rates, and 8.8% greater expenditures.[23] The most satisfied patients received more accommodating care, not better care. This finding maps directly onto legal services. A lawyer who achieves a poor settlement but communicates warmly may receive higher ratings than a lawyer who secures a superior outcome but communicates poorly.

IX. Conclusion: Breaking Out of the Lemons Equilibrium

The argument chain across these two papers is now complete. Legal services are credence goods (Darby & Karni, 1973; Dulleck & Kerschbamer, 2006) — consumers cannot evaluate quality before, during, or after purchase. This information asymmetry triggers Akerlof's (1970) adverse selection mechanism: without quality signals, the market pools high and low quality together, and the resulting average price drives high-quality providers toward exit or niche markets.

Cognitive biases — the availability heuristic, anchoring, the halo effect, the Dunning-Kruger effect — cause consumers to rely on unreliable proxies. These biases are amplified for divorce clients by stress-induced cognitive impairment: a 13–14 IQ point reduction at the moment of greatest vulnerability (Mani et al., 2013). After hiring, the satisfaction-quality disconnect (Fenton et al., 2012) and confirmation bias prevent consumers from ever discovering the gap.

Flat-fee pricing resolves both problems identified in this two-paper series. From the principal-agent framework (Paper 1), it aligns incentives by eliminating the profit motive for prolonging engagement. From the signaling framework (Paper 2), it credibly communicates quality by satisfying Spence's (1973) single-crossing condition: only efficient attorneys can bear the cost-overrun risk that flat fees entail.

[23] Fenton, J. et al. (2012). "The Cost of Satisfaction." *Archives of Internal Medicine* 172(5), 405–411.

The conclusion is not that flat-fee pricing alone will fix the legal market. Akerlof's model identifies multiple counter-mechanisms — warranties, reputation, and certification — and the evidence from healthcare, financial services, and other credence good markets suggests that comprehensive quality infrastructure is needed. But fee structure is the mechanism most directly within the control of individual practitioners. It is the first and most credible step a lawyer can take to break out of the lemons equilibrium.